

The Contract Act, 1872

Written Short Note

For Bangladesh Judicial Service Exam

By Istiak Kamal Tonmoy

L.L.B.(Hons), BRAC University

L.L.M., East West University

Email: istiak.kamal.tonmoy@g.bracu.ac.bd

This Note is made by using the following materials

1. Law of Contract by Dr. Md. Ekramul Haque Sir

Message from the Note-Maker

I made this note to help me with Bangladesh Judicial Service Commission Written Exam. It can also be used for the purpose of preliminary exam as well since the topics for preliminary and written are similar. Current active students of law in the University level should find it helpful too.

My advice to anyone who intends on using this note would be that don't make this note your primary copy for study from the get go. Read the Bare Act properly, use guide book found in the Market (Expert Law book by Mahmud Wazed sir is a great option). After that use this note for convenience. Remember, *there is no shortcut to success*.

Lastly, a request from this person who is on his judiciary and bar journey. *Please give credit where credit is due*. Don't use this note to create any suggestions or short notes for the purpose of publication in the book market. Students, law enthusiasts, bar and bjs aspirants deserve quality materials.

The Contract Act, 1872 Written Note

Definition of Contract

❖ **Relevant Sections**

- Section 2. Interpretation Clause

Communication, Acceptance and Revocations of Contracts

❖ **Relevant Sections**

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 - ✓ Section 3. Communication, acceptance and revocation of proposals
 - ✓ Section 4. Communication when complete
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 - ✓ Section 5. Revocation of proposals and acceptances
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- 12. What is a sound mind for the purposes of contracting
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❖ **Relevant Sections**

- 172. "Pledge", "Pawnor" and "Pawnee" defined

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❖ **Relevant Sections**

- 180. Suit by bailor or bailee against wrong-doer
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Appointment and Authority of Agents

❖ **Relevant Sections**

- 182. "Agent" and "principal" defined
- 183. Who may employ agent
- 184. Who may be an agent
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- 187. Definitions of express and implied authority
- 188. Extent of agent's authority
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❖ **Relevant Sections**

- 201. Termination of agency

Agent’s duty to Principal

❖ **Relevant Sections**

- 215. Right of principal when agent deals, on his own account, in business of agency without principal's consent
- 216. Principal's right to benefit gained by agent dealing on his own account in business of agency

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❖ **Relevant Sections**

- 222. Agent to be indemnified against consequences of lawful acts
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- 224. Non-liability of employer of agent to do a criminal act
- 225. Compensation to agent for injury caused by principal's neglect

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❖ **Relevant Sections**

- 227. Principal how far bound, when agent exceeds authority
- 228. Principal not bound when excess of agent's authority is not separable

General Laws Relating to Contract	
Formation of Contract	SS.2-36
Performance of Contract	SS.39-62
Breach of Contract and Remedies	SS.73-75

Laws relating to some particular types of contracts	
Contracts of indemnity and guarantee	SS.124-144
Contracts of bailment and pledge	SS.148-181
Contract of Agency	SS.182-228

Definition of Contract

Formation of Contract

❖ **What is a contract?**

➤ **S.2(h) ‘Contract’**

- ✓ ‘an agreement enforceable by law is a contract’.

➤ **Note:**

- ✓ Therefore, if an agreement is enforceable by law, then it becomes a contract.
- ✓ In other words, agreements may be of two types:

- 1) Agreements enforceable by law; and
- 2) Agreements not enforceable by law.

- The definition of contract provided by s.2(h) is not an exhaustive one, thus, the two terms “agreement” and “enforceable” by law must be cleared to get a complete definition of contract.

➤ **S.2(e) ‘Agreement’**

- ✓ every promise and every set of promises
- ✓ forming the consideration for each other
- ✓ is an agreement

➤ **Note:**

- ✓ By a proper dissection of the definition we get 2 elements of an agreement:

- 1) Promise
- 2) Consideration

➤ **S.2(d) ‘Consideration’**

- ✓ When, at the desire of the promisor,
- ✓ the promisee or any other person has done or abstained from doing, **(past)**
- ✓ or does or abstains from doing, **(present)**
- ✓ or promises to do or to abstain from doing, something, **(future)**
- ✓ such act or abstinence or promise
- ✓ is called a consideration for the promise

➤ **S.2(b) ‘Promise’**

- ✓ When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted.
- ✓ A proposal, when accepted becomes a promise

➤ **Note:**

- ✓ 2 elements are essential to constitute a promise:
 - 1) Proposal (also called offer)
 - 2) Acceptance

➤ **S.2(a) ‘Proposal’/‘Offer’:**

- ✓ When one person signifies to another
- ✓ his willingness to do or to abstain from doing anything,
- ✓ with a view to obtaining the assent of that other to such act or abstinence,
- ✓ he is said to make a proposal.

➤ **Note:**

- ✓ Thus, if a willingness regarding something is expressed to another person with a definite objective of obtaining the consent of that person, that willingness constitutes an offer.
- ✓ The term *proposal is the starting point for defining a contract.*

➤ **S.2(b) ‘Acceptance’**

- ✓ When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted

➤ **Note:**

- ✓ Thus, the essence of an acceptance is the assent or consent that is coming from the offeree.
- ✓ The assent must be given to the whole proposal without making any exclusion or addition in any form whatsoever.

➤ **Note: First Element of Contract ‘Agreement’** – To conclude the first element of contract, that is agreement

- ✓ A contract is constituted by an agreement and enforceability by law, and
- ✓ Agreement is constituted by a promise and consideration and
- ✓ A promise is constituted by an offer and acceptance.

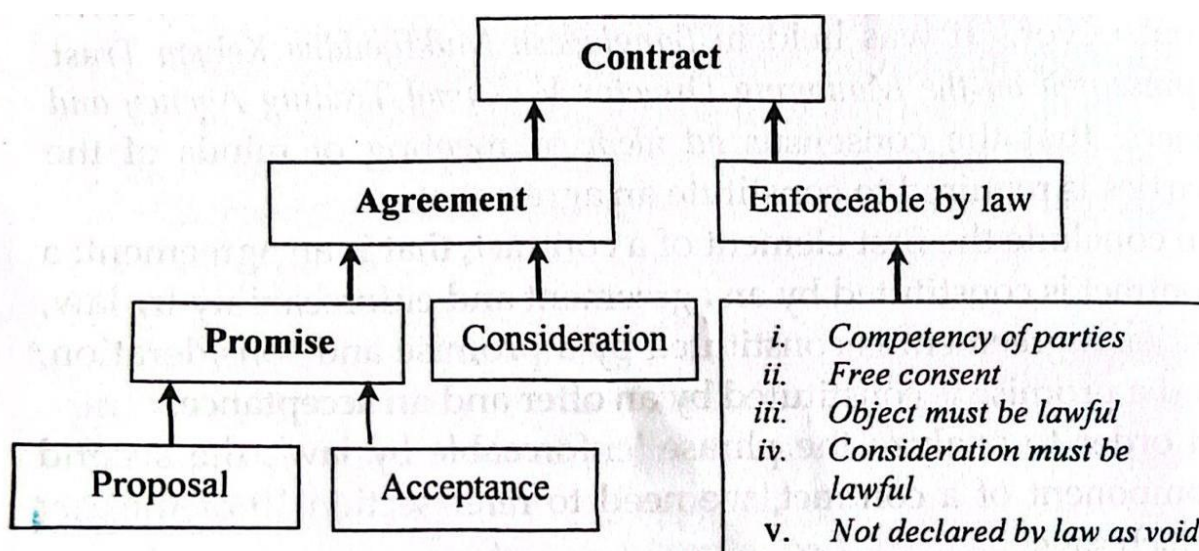
➤ **‘Enforceability by Law: S.10** must be referred here.

➤ **S.10 What agreements are contracts**

- ✓ All agreements are contracts if
- ✓ they are made by the free consent of parties competent to contract,
- ✓ for a lawful consideration and with a lawful object, and
- ✓ are not hereby expressly declared to be void.

➤ **Note:**

- ✓ S.10 clarifies which contracts are agreement by laying down conditions for becoming enforceable by law. The conditions are:
 - 1) The parties must be competent to contract,
 - 2) The consent of the parties must be free,
 - 3) The consideration must be lawful,
 - 4) The object must be lawful,
 - 5) The law has not expressly declared the agreement to be void.
- ✓ An agreement must satisfy the 5 conditions to be a contract.



All Contracts are Agreements but not all Agreements are Contracts

- Only the agreements which are enforceable by law can be treated as contracts under the law.
- Thus, the agreements which are not enforceable by law can never have the status of a contract in the eye of law.
- There may be plenty of agreements, some of which are enforceable by law.
- Suppose, an agreement to purchase 1kg heroine is not enforceable by law and as such it cannot turn into a contract.
- However, an agreement for the purchase of a computer is enforceable by law and as such is a contract.
- In this regard, we can reach to a conclusion that 'all contracts are agreements, but all agreements are not contracts'.
- Because, the first stage for a transaction to be a contract is that the transaction has to be an agreement.
- Thus, every contract is necessarily an agreement, but every agreement is not necessarily a contract.
- So, all contracts are agreements, but all agreements are not contracts.
- It was observed in ***Abdul Gani Sheikh V. Jagadish Chandra Mridha and others.***

Types of Contract	
Types of Contract – Mode of Creation	Types of Contract – Enforceability and Validity
➤ S.9 Promises, express and implied ✓ In so far as the proposal or acceptance of any promise is made in words, the promise is said to be express. ✓ In so far as such proposal or acceptance is made otherwise than in words, the promise is said to be implied ➤ Note: ✓ From mode of creation s.9 divides contract in 2 types: 1) Express Contract 2) Implied Contract ➤ Express Contract ✓ If offer and acceptance are made in words, whether in written or orally, it will be express contract. ✓ Express contract can be of 2 types 1) Written 2) Oral ➤ Implied Contract; ✓ If the offer and acceptance are made otherwise than in words, then it will be implied contract.	➤ 3 types 1) Valid Contract 2) Voidable Contract 3) Void Agreement ➤ Valid Contract: ✓ Any agreement enforceable by law is contract and such contract is a valid contract. ✓ So, valid contract fulfills all requirements made by law including the conditions laid down by s.10. ➤ Voidable Contract: ✓ Defined by s.2(i) ✓ S.2(i) Voidable Contract: • An agreement which is enforceable by law • at the option of one or more of the parties thereto, • but not at the option of the other or others, • is a voidable contract: ✓ It is a temporary status. The law gives opportunity to make is valid or void. It cannot be voidable forever. ➤ Void Contract: ✓ Defined by s.2(j) ✓ S.2(j) Void Contract • A contract which ceases to be enforceable by law • becomes void when it ceases to be enforceable. ✓ Here, a valid contract becomes void by losing enforceability later. It is not void ab initio.

❖ **Void Agreement:**

- Defined in s.2(g)
- **S.2(g) Void agreement**
 - ✓ An agreement not enforceable by law is said to be void
- If an agreement is not enforceable by law it will never become a contract and remain an agreement and here, being a void agreement

Distinction between Void Contract and Void Agreement	
Void Contract	Void Agreement
➤ S.2(j) Void Contract ✓ A contract which ceases to be enforceable by law ✓ becomes void when it ceases to be enforceable.	➤ S.2(g) Void agreement ✓ An agreement not enforceable by law is said to be void
➤ A void contract was valid first.	➤ But a void agreement was never enforceable by law.
➤ Whereas the term 'void contract' implies that it was not void at its very inception; rather it was born as an agreement which was valid or enforceable by law and subsequently it ceased to be enforceable by law.	➤ The term 'void agreement' implies void ab initio, i.e., void from very beginning or from its birth.
	➤ Void agreements are discussed in ss.26-30C (see bare Act index)

Proposal, Acceptance and Communication

❖ **Proposal**

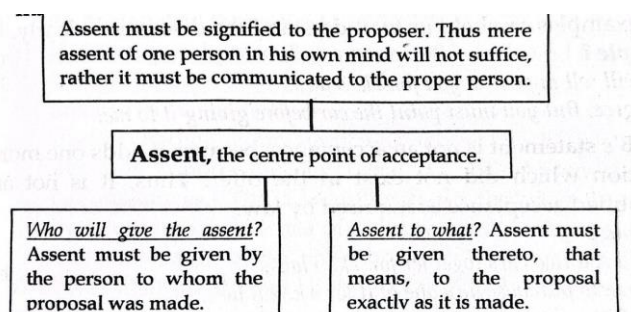
- Also referred as **offer** under English Law
- **S.2(a) Proposal**
 - ✓ When one person signifies to another
 - ✓ his willingness to do or to abstain from doing anything,
 - ✓ with a view to obtaining the assent of that other to such act or abstinence,
 - ✓ he is said to make a proposal.
- According to this definition **the elements of proposal are:**
 - 1) Expression of one's willingness;
 - 2) Willingness is expressed to another person;
 - 3) The willingness may be affirmative or negative, i.e., that is either to do something or to abstain from doing;
 - 4) The said willingness is expressed to other person with a definite object, that is, the person who makes it intends to obtain the consent to the same from the person to whom it is made.

Offer and Invitation to Treat		
Aspect	Offer	Acceptance
Nature of Statement	Final expression of willingness, definite to be capable of acceptance	Not a final expression, an invitation for offers
Intention	Made with the intention to create a binding agreement upon acceptance	Made with the intention to invite negotiations and expressions of interest
Legal Consequences	Binding upon acceptance, can lead to a contract	Not binding, invitation for further negotiations
Example	A clear statement indicating a definite price, terms, and an intention to be bound	To let people know by advertisements, price lists, display of goods in a store

❖ Acceptance

➤ S.2(b) Acceptance

- ✓ When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted
- As per definition the elements of a proposal are:
 - 1) Signification of the assent;
 - 2) Assent is signified by the person to whom the proposal is made;
 - 3) The term 'thereto' used in this section implies that assent must be given to the offer as it is.
 - Nothing can be included or excluded from the offer/proposal. It must be accepted as it is made



- Nature and mode of acceptance is provided by **S.7 Acceptance Must be Absolute**
- **S.7 Acceptance Must be Absolute** To convert a proposal into a promise, the acceptance must be
 - ✓ **S.7(1) Nature of Valid Acceptance**
 - To convert a proposal into a promise, the acceptance must be absolute and qualified
 - ✓ **S.7(2) Rules regarding mode/manner of acceptance**
 - If the proposal does not prescribe any manner of acceptance then it must be performed in usual and reasonable manner.
 - If the proposal prescribes any specific mode and manner then it must be done accordingly.
- Acceptance by performance is dealt by **S.8 Acceptance by performing, conditions, or receiving consideration**
- **S.8 Acceptance by performing, conditions, or receiving consideration**
 - ✓ Performance of the conditions of a proposal, or
 - ✓ the acceptance of any consideration for a reciprocal promise which may be offered with a proposal,
 - ✓ is an acceptance of the proposal.
 - **Note: Performance of conditions mentioned in offer amounts to acceptance.**

❖ **Communication of Proposal, Acceptance and Revocation**

- Communication plays a central role in the formation of contract and without communication even evocation of proposal or acceptance is also impossible
- **Relevant Sections**
 - ✓ Section 3. Communication, acceptance and revocation of proposals
 - ✓ Section 4. Communication when complete
- **S.3 Communication, acceptance and revocation of proposals**
 - ✓ *Talks about how communication is made*
 - ✓ Communication of proposal, acceptance and revocation can be made in 2 ways:
 - 1) By the act or omission of the concerned party which intended it.
 - 2) By the act or omission of the party which though did not intended it clearly but it has the effect of such communication of proposal, acceptance or revocation.

S.4 Communication when complete

Communication of Proposal	
Completeness: A proposal is considered complete when it reaches the knowledge of the person to whom it is addressed.	
Communication of Acceptance:	
1st Phase of Communication of Acceptance - Against Proposer: Completeness: The communication of acceptance becomes complete as against the proposer when it is put in a course of transmission to him, so as to be out of the power of the acceptor.	2nd Phase of Communication of Acceptance - Against Acceptor: Completeness: The communication of acceptance will be complete as against the acceptor when it comes to the knowledge of the proposer.
Communication of Revocation	
Against the Person Making Revocation: Completeness: when it is put into a course of transmission to the person to whom it is made, so as to be out of the power of the person who makes it;	Against the Person to Whom It Is Made: Completeness: the person to whom it is made, when it comes to his knowledge.

Revocation of Offer and Acceptance

❖ **Relevant Sections**

- Section 5. Revocation of proposals and acceptances
- Section 6. Revocation how made

❖ **S.5 Revocation of proposals and acceptances (*When an offer and acceptance can be revoked*)**

- **Revocation of Proposal:** A proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer, but not afterwards.
- **Revocation of Acceptance:** A acceptance may be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards

❖ **S.6 Revocation how made (*How an offer can be revoked*)**

- A proposal can be revoked by
 - 1) By notice;
 - 2) By lapse of time;
 - 3) By non-fulfillment of condition precedent;
 - 4) By death or insanity.

Capacity of Parties

❖ **Relevant Sections**

- 11. Who are competent to contract
- 12. What is a sound mind for the purposes of contracting

❖ **S.11 Who are competent to contract**

- 3 requirements to be competent to contract
 - 1) Age of majority
 - 2) Sound mind
 - 3) Not disqualified from contracting by any law

❖ **Note: Age of Majority**

- Contract Act does not provide age of majority
- **The Age of Majority, 1875, Section 3** – 18 years unless the superintendence of the property is assumed by the Court of wards then 21 years.

❖ **S.12 What is sound mind for the purposes of contracting**

- A person is said to be of sound mind for the purpose of making a contract if, at the time when he makes it, he is capable of understanding it and of forming a rational judgment as to its effect upon his interests.

✓ ***Understand + Form rational judgment***

- A person who is usually of unsound mind, but occasionally of sound mind, may make a contract when he is of sound mind.
- A person who is usually of sound mind, but occasionally of unsound mind, may not make a contract when he is of unsound mind.

Free Consent, Coercion, Undue Influence,

Fraud, Misrepresentation, Mistake of Facts and Law

❖ Relevant Sections

➤ Consent

- ✓ 13. "Consent" defined
- ✓ 14. "Free consent" defined

➤ Coercion

- ✓ 15. "Coercion" defined

➤ Undue Influence

- ✓ 16. "Undue influence" defined
- ✓ 19A. Power to set aside contract induced by undue influence

➤ Fraud

- ✓ 17. "Fraud" defined

➤ Misrepresentation

- ✓ 18. "Misrepresentation" defined

➤ Effect of Coercion, Misrepresentation and Fraud

- ✓ 19. Void ability of agreements without free consent

➤ Mistake

- ✓ 20. Agreement void where both parties are under mistake as to matter of fact
- ✓ 21. Effect of mistakes as to law
- ✓ 22. Contract caused by mistake of one party as to matter of fact

Consent

❖ **Section 13 “Consent” defined**

- Two or more persons are said to consent when they agree upon the same thing in the same sense.
- **Note:** Thus, there are 2 statutory requirements to be a consent. Consent must be given
 - i. To the same thing,
 - ii. In the same sense.
- So, if the parties agree upon different things or in different senses then this will not be treated as ‘consent’.
- The term ‘thing’ used in the first requirement means ‘the content of agreement’.

❖ **Section 14 “Free Consent” defined**

- Consent is said to be free when it is not caused by-
 - 1) coercion, as defined in section 15, or
 - 2) undue influence, as defined in section 16,or
 - 3) fraud, as defined in section 17, or
 - 4) misrepresentation, as defined in section 18, or
 - 5) mistake, subject to the provisions of sections 20, 21 and 22.

Consent is said to be so caused when it would not have been given but for the existence of such coercion, undue influence, fraud, misrepresentation or mistake.

- **Note:** Mere existence of these 5 elements are not sufficient, rather it must be proved that there is a ‘casual connection’ between the consent and the element.

Coercion

❖ **Section 15 “Coercion” defined**

- "Coercion"
 - ✓ is the committing, or threatening to commit, any act forbidden by the Penal Code or
 - ✓ the unlawful detaining or threatening to detain, any property, to the prejudice of any person whatever,
 - ✓ with the intention of causing any person to enter into an agreement.

Explanation - It is immaterial whether the Penal Code is or is not in force in the place where the coercion is employed.

- **Note:** From definition it can be seen there are 2 elements of coercion.
 - i. Substantial element;
 - ii. Psychological element.

<u>Substantial element</u>	<u>Psychological element.</u>
Committing/threating to commit act forbidden by the Penal Code Unlawfully detaining/threating to detain property, to the prejudice of any person whatever.	The intention of such act to make a person enter into a contract.

Undue Influence

❖ Section 16 “Undue influence” defined

➤ S.16(1) Definition

- ✓ A contract is said to be induced by "undue influence"
- ✓ where the relations subsisting between the parties are such that
- ✓ one of the parties is in a position to dominate the will of the other and
- ✓ uses that position to obtain an unfair advantage over the other.

➤ S.16(2) When a person is in dominating position

- ✓ In particular and without prejudice to the generality of the foregoing principle, a person is deemed to be in a position to dominate the will of another-
 - a) where he holds a real or apparent authority over the other or where he stands in a fiduciary relation to the other; or
 - b) where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness, or mental or bodily distress.

➤ S.16(3) Burden of Proof

- ✓ Where a person who is in a position to dominate the will of another, enters into a contract with him, and
 - ✓ the transaction appears, on the face of it or on the evidence adduced, to be unconscionable,
 - ✓ the burden of proving that such contract was not induced by undue influence shall lie upon the person in a position to dominate the will of the other.
- Nothing in this sub-section shall affect the provisions of ***section 111 of the Evidence Act, 1872 (Proof of good faith in transactions where one party is in relation of active confidence)***

❖ Note: From analysis of s.16 the followings can be found

➤ S.16(1) Ingredients of undue influence: 2 ingredients must be present:

- 1) **Nature of Relationship:** One of the parties must be in a dominating or superior position compared to the other party. Such position must allow the dominant party to dominate the decision making of the other party.
- 2) **Use of the relation:** Mere dominating/superior position is not enough. The dominant party must use that position to get unfair advantage.

➤ S.16(2) The cases when a person will be deemed to be in dominating position

- i. A real authority (Ex: Police offer and accused)
- ii. An apparent authority (Ex: Master –Servant)
- iii. Fiduciary Relationship. That means relationship is of utmost good faith. (Ex: Parent-Child, Doctor-Patient, Lawyer-Client, teacher-student)
- iv. where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness, or mental or bodily distress

➤ **S.16(3) Presumption of Innocence and Burden of Proof**

- ✓ General principle that one who claims has the burden of proof is not followed here.
- ✓ The burden of proof lies on the person who is in dominating/superior position. He must prove that the contract is not induced by undue influence.
- ✓ The burden of proof shifts to such dominating person on fulfillment of 2 conditions
 - 1) Where a person who is in a position to dominate the will of another, enters into a contract with him, and
 - 2) the transaction appears, on the face of it or on the evidence adduced, to be unconscionable.

Note: Transaction must be Unconscionable and it may appear 2 ways:

- i. On the face of it, or
- ii. On the evidence adduced

❖ **19A. Power to set aside contract induced by undue influence**

➤ **Effect of undue influence – Contract becomes voidable**

- ✓ When consent to an agreement is caused by undue influence, the agreement is a contract voidable at the option of the party whose consent was so caused.

➤ **Setting aside such agreement**

- ✓ Any such contract may be set aside either absolutely or, if the party who was entitled to avoid it has received any benefit thereunder, upon such terms and conditions as to the Court may seem just.

Fraud

❖ **Section 17 “Fraud” defined**

- "Fraud" means and includes any of the following acts committed by a party to a contract, or with his connivance, or by his agent, with intent to deceive another party thereto or his agent, or to induce him to enter into the contract:-
 - 1) the suggestion, as a fact, of that which is not true, by one who does not believe it to be true;
 - 2) the active concealment of a fact by one having knowledge or belief of the fact;
 - 3) a promise made without any intention of performing it;
 - 4) any other act fitted to deceive;
 - 5) any such act or omission as the law specially declares to be fraudulent.
- **Explanation** – Mere silence as to facts likely to affect the willingness of person to enter into a contract is not fraud, unless the circumstances of the case are such that, regard being had to them, it is the duty of the person keeping silence to speak, or unless his silence is, in itself, equivalent to speech.

❖ **Note:** Fraud has 2 elements

- 1) Psychological elements (Intention must be to deceive party or induce him to enter into a contract)
- 2) Substantial elements (The mentioned 5 acts in s.17 must take place to be a fraud)

❖ **Does a mere silence amount to fraud?**

- General rule is that mere silence does not amount to fraud.
- However, **s.17 Explanation** provides 2 scenarios where mere silence does amount to fraud:
 - 1) **If the silence is in breach of duty.** That means considering the nature and circumstances of the transaction if it appears that it was the duty of that person to speak but he remains silent then such silence shall amount to fraud.
 - 2) **If the silence is equal to speak fraudulent statement.** Suppose, a buyer asks the seller indicating a Intel Pentium II computer 'it is a Intel Pentium III computer, is not it?' and the seller remains silent-this silence amounts to fraud.

Misrepresentation

❖ **Section 18 “Misrepresentation” defined**

➤ Misrepresentation" means and includes–

- 1) the positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true;
- 2) any breach of duty which, without an intent to deceive, gains an advantage to the person committing it, or any one claiming under him, by misleading another to his prejudice or to the prejudice of any one claiming under him;
- 3) causing, however innocently, a party to an agreement to make a mistake as to the substance of the thing which is the subject of the agreement.

❖ **Note:** Section 18 talks about 3 types of acts as misrepresentation

- 1) Unwarranted false statement (Someone makes false statement considering it to be true. This differs misrepresentation from fraud)
- 2) Breach of duty (Breach was done without intention to deceive)
- 3) Causing mistake as to subject matter (such mistake is done innocently)

❖ In misrepresentation the psychological element of intending to deceive is not present.

Effect of Coercion, Misrepresentation & Fraud

❖ **Section 19 Voidability of agreements without free consent**

➤ **Contract Voidable**

- ✓ When consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is a contract voidable at the option of the party whose consent was so caused.

➤ **Additional Option for Fraud and Misrepresentation**

- ✓ A party to a contract, whose consent was caused by fraud or misrepresentation, may, if he thinks fit, insist that the contract shall be performed, and that he shall be put in the position in which he would have been if the representations made had been true.

➤ **Exception**—If such consent was caused by misrepresentation or by silence, fraudulent within the meaning of section 17, the contract, nevertheless, is not voidable, if the party whose consent was so caused had the means of discovering the truth with ordinary diligence.

➤ **Explanation** – A fraud or misrepresentation which did not cause the consent to a contract of the party on whom such fraud was practised, or to whom such misrepresentation was made, does not render a contract voidable.

❖ **Note:** Conditions provided in exception and explanation part of s.19 must be fulfilled to make a contract voidable at the ground of misrepresentation and fraud

➤ **Exception Part**

- ✓ A person must practice due diligence and ordinary prudence. Lack of such prudence and diligence which lead him to fall into misrepresentation and fraud disentitles him from getting help from law.

➤ **Explanation Part**

- ✓ Mere commission of misrepresentation and fraud is not enough. Such must affect the consent relating to the contract. Otherwise, such misrepresentation or fraud is irrelevant.

Mistake of Facts and Law

- ❖ **Note:**
 - From the nature of mistake there are 2 types of mistake
 - 1) **Mistake of law**, and
 - 2) **Mistake of fact**.
 - On the basis of who commits mistake there are 2 types of mistake
 - 1) **Unilateral Mistake:** If only one party to an agreement is under a mistake, but not the other or others, it is called unilateral mistake.
 - 2) **Bilateral Mistake:** If both the parties to an agreement are under a common mistake that is termed bilateral mistake.

Legal Consequences of Each type of Mistake	
Nature of Mistake	Legal Consequences
Bilateral Mistake of Fact	Agreement becomes void
Unilateral Mistake of Fact	Contract does not become voidable
Bilateral Mistake of Law	Contract does not become voidable
Unilateral Mistake of Law	Contract does not become voidable

- ❖ **Section 20 Agreement void where both parties are under mistake as to matter of fact**
 - Where both the parties to an agreement are under a mistake as to a matter of fact essential to the agreement, the agreement is void.
 - **Explanation** - An erroneous opinion as to the value of the thing which forms the subject-matter of the agreement is not to be deemed a mistake as to a matter of fact.
 - **Note:** Agreement becomes void under s.20 if the following conditions are fulfilled
 - i. The mistake must be bilateral
 - ii. The mistake must be a mistake of fact
 - iii. Such mistake of fact must be essential to the subject matter of the agreement. So, if any tiny bilateral mistake occurs it will not affect the agreement.
- ❖ **Section 21 Effect of mistakes as to law**
 - A contract is not voidable because it was caused by a mistake as to any law in force in Bangladesh; but a mistake as to a law not in force in Bangladesh has the same effect as a mistake of fact
 - **Note**
 - ✓ Law must be among laws which are enforceable in Bangladesh
 - ✓ Mistake of law as to foreign law shall be considered as mistake of fact.
- ❖ **Section 22 Contract caused by mistake of one party as to matter of fact**
 - A contract is not voidable merely because it was caused by one of the parties to it being under a mistake as to a matter of fact.

Consideration

❖ Note

- Consideration is one of the essential elements of contract.
- The general principle is that ‘No consideration, no contract.’

❖ Meaning of Consideration

- Consideration means the exchange price
- **S.2(d) “Consideration”**
 - ✓ When, at the desire of the promisor,
 - ✓ the promisee or any other person
 - ✓ has done or abstained from doing, or
 - ✓ does or abstains from doing, or
 - ✓ promises to do or to abstain from doing, something,
 - ✓ such act or abstinence or promise is called a consideration for the promise:
- **Note:** From the definition provide by s.2(d) the ingredients of consideration are:
 - i. It is an act or abstinence. That means it may be positive or negative.
 - ii. It is done at the desire of the promisor. Thus, if any third party does it that will not be consideration.
 - iii. It may be of 3 forms
 - 1) Has been done,
 - 2) Is being done,
 - 3) Is promised to be done at some future time.

❖ Essence of Consideration

- It must be mentioned that consideration is not limited within monetary compensation only.
- In **Currie vs Misa** ‘Consideration’ has been defined wonderfully as: “A valuable consideration in the sense of law may consist either
 - ✓ in some right, interest, profit or benefit accruing to one party, or
 - ✓ forbearance, detriment loss or responsibility given, suffered or undertaken by the other.”
- **Thomas vs Thomas, Justice Patterson**
 - ✓ Consideration means something which is of value in the eye of the law,
 - ✓ moving from the plaintiff: it may be some detriment to plaintiff or some benefit to the defendant.

❖ Consideration may move from the promisee or any other person

- There is no requirement that consideration must move or come from the promisee.
- A promise is enforceable if there exists any consideration and it is immaterial that by whom the consideration has been furnished.
- The only material thing is the existence of consideration.

Types of Consideration		
Executory Consideration	Executed Consideration	Past Consideration
Consist of promise to do or abstain from doing something in the future time.	One party performed his part and other party’s part remains outstanding. The part done is executed consideration.	If the service is rendered in the past at the request or desire of the promisor. It is different from executed consideration. An executed consideration is done in response to positive promise, whereas the case of past consideration is not so.

- ❖ **Consideration: an essential element of a contract**
 - S.25 lays down the general principle regarding the requirement of consideration to form a contract in this way that –
‘an agreement made without consideration is void.’
- ❖ **Exceptions to the general principle: Contracts without consideration**
 - **Section 25** Exceptions to general principle where there may be valid agreement without consideration/ Such exceptions are:
 - 1) Agreement made out of natural love and affection; or
 - 2) Agreement to compensate for past voluntary service; or
 - 3) Payment of time barred debt (Debt is barred by limitation but if subsequent promise is made for its payment then such is enforceable without consideration)
 - All such agreement must be in writing and registered.
 - **Explanation 1**
 - ✓ Nothing in this section shall affect the validity, as between the donor and donee, of any gift actually made.
 - **Explanation 2**
 - ✓ An agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate;
 - ✓ but the inadequacy of the consideration may be taken into account by the Court the question whether the consent of the promisor was freely given.

Legality of Object and Consideration

- ❖ The term Object implies the purpose of any act.
- ❖ Consideration is something done at the desire of the promisor while Object is the purpose for which the act is being done.
- ❖ **Section 23 What consideration and objects are unlawful and what not**
 - The consideration or object are unlawful if
 - i. It is forbidden by law;
 - ii. It is of nature that, if permitted, it would defeat the provisions of any law;
 - iii. is fraudulent; or
 - iv. involves or implies injury to the person or property of another; or
 - v. the Court regards it as immoral, or opposed to public policy.
 - **Effect:** Every agreement of which the consideration or object is unlawful is void.
- ❖ **Section 24 Agreements void, if consideration sand objects unlawful in part**
 - If any part of a single consideration for one or more objects, or any one or any part of any one of several considerations for a single object is unlawful, the agreement is void.

Nature/Number of Consideration	Nature/Number of Object	Legal Consequence
Any part of a single consideration is unlawful	For one or more objects	The agreement is void
Any one or any part of any one of several considerations is unlawful	For a single object	The agreement is void

Contingent Contract

❖ **Relevant Sections**

- 31. "Contingent contract" defined
- 32. Enforcement of contracts contingent on an event happening
- 33. Enforcement of contracts contingent on an event not happening
- 34. When event on which contract is contingent to be deemed impossible, if it is the future conduct of a living person
- 35. When contracts become void which are contingent on happening of specified event within fixed time
When contracts may be enforced which are contingent on specified event not happening within fixed time
- 36. Agreement contingent on impossible events void

❖ **What is Contingent Contract?**

- Contingent contract is a special type of contract which is compared to a simple contract is dependent upon any further contingency.
- However, it does not mean that certainty does not remain as one of the conditions of a contract. Because, here the act agreed to be done is certain, although its happening or not happening depends on any contingency.

❖ **Section 31 “Contingent contract’ defined**

- A "contingent contract" is a contract to do or not to do something, if some event, collateral to such contract, does or does not happen.
- **Illustration:** A contracts to pay B Taka 10,000 if B's house is burnt. This is a contingent contract.
- **Note: Elements of Contingent Contract:** From the definition provided in s.31 can be mentioned in the following way:
 - 1) It is a contract;
 - 2) It may be positive or negative, i.e., to do or not to do something;
 - 3) It is dependent upon the future event;
 - 4) Such event must be
 - i. A future uncertain event, which may or may not happen, and
 - ii. The event must be collateral to such contract.

❖ **‘The event must be collateral to such contract’**

- Mere conditional contract will not be treated as contingent.
- The event upon which the contract is dependent must be collateral to such contract.
- Example:
 - ✓ **Not Collateral:** Person gives declaration to give reward if anyone finds his lost laptop.
 - ✓ **Collateral:** A person says “I will pay you 1 lac if your car is burnt”. Here, the contract is dependent upon happening of an event.

❖ Section 32 Enforcement of contracts contingent on an event happening	❖ Section 33 Enforcement of contracts contingent on an event not happening
➤ Nature of Contract ✓ Contingent Contract	➤ Nature of Contract ✓ Contingent Contract
➤ Nature of Contingency ✓ To do or ✓ Not to do anything ✓ if an uncertain event happens	➤ Nature of Contingency ✓ To do or ✓ Not to do anything ✓ if an uncertain future event does not happen
➤ When will be enforceable by law ✓ When the future collateral event happens	➤ When will be enforceable by law ✓ When the future collateral event becomes impossible and not before ✓ Because only the impossibility of that event ensures the satisfaction of the condition ‘future event does not happen’.
➤ When will be void ✓ If happening of that event becomes impossible	
➤ Illustrations (a) A makes a contract with B to buy B's horse if A survives C. This contract cannot be enforced by law unless and until C dies in A's lifetime. (b) A makes a contract with B to sell a horse to B at a specified price, if C, to whom the horse has been offered, refuses to buy him. The contract cannot be enforced by law unless and until C refuses to buy the horse. (c) A contracts to pay B a sum of money when B marries C. C dies without being married to B. The contract becomes void.	➤ Illustration ➤ A agrees to pay B a sum of money if a certain ship does not return. The ship is sunk. The contract can be enforced when the ship sinks.

❖ **Section 34 When event on which contract is contingent to be deemed impossible, if it is the future conduct of a living person**

- If the future event on which a contract is contingent is the way in which a person will act at an unspecified time, the event shall be considered to become impossible when such person does anything which renders it impossible that he should so act within any definite time, or otherwise than under further contingencies.
- **Note:**
 - ✓ If the happening of an event become impossible once, **then that will be treated impossible forever**, though there remains the possibility of being possible.
 - ✓ And the contingent contract based on that event will bear the consequence based on the first impossibility and that will be final.

❖ **Section 35 When contracts become void which are contingent on happening of specified event within fixed time**

When contracts may be enforced which are contingent on specified event not happening within fixed time

On Happening of Specified Event within Fixed time	On Specified Event not happening within Fixed time
➤ Nature of Contract ✓ Contingent Contract	➤ Nature of Contract ✓ Contingent Contract
➤ Nature of Contingency ✓ To do or ✓ Not to do anything ✓ If a specified uncertain event happens within a fixed time	➤ Nature of Contingency ✓ To do or ✓ Not to do anything ✓ If a specified uncertain event does not happen within a fixed time
➤ When will it be void? ✓ It becomes void • If at the expiration of the time fixed such event has not happened, or • If before the time fixed, such event becomes impossible.	➤ When will it be enforceable? ✓ May be enforced by law • When the time fixed has expired and such event has not happened; or • Before the time fixed has expired, if it becomes certain that such event will not happen.

❖ **Section 36 Agreement contingent on impossible events void**

- Contingent agreements to do or not to do anything, if an impossible event happens, are void, whether the impossibility of the event is known or not to the parties to the agreement at the time when it is made.
- **Illustrations**
 - a) A agrees to pay B 1,000 Taka if two straight lines should enclose a space. The agreement is void.
 - b) A agrees to pay B 1,000 Taka if B will marry A's daughter C. C was dead at the time of the agreement. The agreement is void.
- **Note:**
 - ✓ If the agreement becomes dependent on an impossible event then that will be termed as void, though the act actually promised to be done is not in itself impossible.
 - ✓ It is not essential that such impossibility is known to parties.
 - ✓ The term 'contingent agreement' is used instead of 'contract' because such agreement never turned into a contract since it has been void from the very beginning.

Of the Performance of Contract

Contracts which must be performed	SS.37, 39
By whom contracts must be performed	S.41
Performance of reciprocal promise	SS.51-56
Contracts which need not be performed	s.62

- ❖ After formation of contract, the first issue regarding that contract is its performance.
- ❖ It terms of performance of contract it can be categorize in 2 categories:

<u>Contracts which must be performed</u>	<u>Contracts which need not be performed</u>
❖ Relevant Sections ➤ 37. Obligation of the parties ➤ 38. Effect of refusal to accept offer of performance ➤ 39. Effect of refusal of party to perform promise wholly	❖ Relevant Sections: ➤ 62. Effect of novation, rescission and alteration of contract

Contracts which must be performed

❖ **Section 37 Obligation of the parties**

➤ **Perform/Offer to Perform**

- ✓ The parties to a contract must either perform, or offer to perform, their respective promises,
- ✓ unless such performance is dispensed with or excused under the provisions of this Act, or of any other law.

➤ **Death of Promisor**

- ✓ Promises bind the representatives of the promisors in case of the death of such promisors before performance,
- ✓ unless a contrary intention appears from the contract.

➤ **Illustrations**

- a) A promises to deliver goods to B on a certain day on payment of Taka1,000. A dies before that day. A's representatives are bound to deliver the goods to B, and B is bound to pay the Taka 1,000 to A's representatives.
- b) A promises to paint a picture for B by a certain day, at a certain price. A dies before the day. The contract cannot be enforced either by A's representatives or by B.

- **Note:** If contract requires personal skill and taste in case of death of the promisor, the representatives will not be liable for performance since such performance was only possible by the late promisor.

➤ **Note:**

- ✓ After entering into contract parties to contract has two options:
 - i. Perform, or
 - ii. Offer to perform
- ✓ Parties need to do any of the things mentioned above if performance is dispensed or excused under
 - i. This Act, or
 - ii. Any other law.
- ✓ **‘Offer to perform’** option is included because one party might offer to perform while the other refuse to accept such performance. In such case, the person offering to perform but could not perform should not be made liable for non-performance.

❖ Section 39 Effect of refusal of party to perform promise wholly

- When a party to a contract
 - ✓ has refused to perform, or
 - ✓ disabled himself from performing his promise in its entirety,
 - ✓ the promisee may put an end to the contract,
 - ✓ unless he has signified, by words or conduct, his acquiescence in its continuance.
- **Note**
 - ✓ If the promisor refuses to perform or disable himself to perform the promise the promisee has 2 options
 - 1) Treat the notice as inoperative, await contract execution, and hold the other party responsible for non-performance consequences.
 - 2) Treat the repudiation as a wrongful contract termination, bring immediate legal action for breach, and seek damages for non-performance at the appointed time.
 - ✓ Damages awarded subject to abatement for circumstances allowing the promisee to mitigate losses
- **Illustration**
 - a) A, a singer, enters into a contract with B, the manager of a theatre, to sing at his theater two nights in every week during the next two months, and B engages to pay her 100 Taka for each nights performance. On the sixth night A willfully absents herself from the theatre. B is at liberty to put an end to the contract.
 - b) A, a singer, enters into a contract with B, the manager of a theatre, to sing at his theatre two nights in every week during the next two months, and to pay her at the rate of 100 Taka for each night. On the sixth night A wilfully absents herself. With the assent of B, A sings on the seventh night has signified his acquiescence in the continuance of the contract, and cannot now put an end to it, but is entitled to compensation for the damage sustained by him through A's failure to sing on the sixth night.

By whom Contracts must be performed

❖ **Section 40 Person by whom promise is to be performed**

- If it appears from the nature of the case that it was the intention of the parties to any contract that any promise contained in it should be performed by the promisor himself, such promise must be performed by the promisor.
- In other cases, the promisor or his representatives may employ a competent person to perform it.
- **Note:**
 - ✓ After making a promise it can be performed by 2 type of persons on the basis of nature of the transaction
 - 1) The Promisor himself, or
 - 2) Any competent person.
 - ✓ **The Promisor Himself**
 - Intention of the contract is that the promisor is to perform the contract himself.
 - Personal skills are involved here. Example: Singing a song.
 - **Illustration:** A promises to paint a picture for B. A must perform this promise personally.
 - ✓ **Any Competent Person**
 - Intention of the contract is not of such that requires performance by the promisor himself.
 - Example: Delivery of an item.
 - **Illustration:** A promises to pay B a sum of money. A may perform this promise, either by personally paying the money to B or by causing it to be paid to B by another; and, if A dies before the time appointed for payment, his representatives must perform the promise, or employ some proper person to do so.

❖ **Section 41 Effect of accepting performance from third person**

- When a promisee accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor.
- **Note:**
 - ✓ A promisee is not bound to accept performance of the promise from a third person.
 - ✓ However, if he does then it will be a valid acceptance. In such case, he cannot enforce it against the original promisor.

Performance of Reciprocal Promises

❖ **Relevant Sections**

- 51. Promisor not bound to perform, unless reciprocal promisee ready and willing to perform
- 52. Order of performance of reciprocal promises
- 53. Liability of party preventing event on which the contract is to take effect
- 54. Effect of default as to that promise which should be first performed, in contract consisting of reciprocal promises
- 55. Effect of failure to perform at fixed time, in contract in which time is essential
Effect of such failure when time is not essential
Effect of acceptance of performance at time other than that agreed upon
- 56. Agreement to do impossible act
Contract to do act afterwards becoming impossible or unlawful
Compensation for loss through non-performance of act known to be impossible or unlawful

❖ **Section 51 Promisor not bound to perform, unless reciprocal promisee ready and willing to perform**

- When a contract consists of reciprocal promises to be simultaneously performed, no promisor need perform his promise unless the promisee is ready and willing to perform his reciprocal promise.

Nature of the promise	Order of Performance	When is to be performed
Reciprocal promises	To be performed simultaneously	When the promisee is ready and willing to perform his promise. No promisor need to perform his promise unless the promisee is ready and willing to perform his reciprocal promise.

Illustrations

- a) A and B contract that A shall deliver goods to B to be paid for by B on delivery.
A need not deliver the goods, unless B is ready and willing to pay for the goods on delivery.
B need not pay for the goods, unless A is ready and willing to deliver them on payment.
- b) A and B contract that A shall deliver goods to B at a price to be paid by installments, the first installment to be paid on delivery.
A need not deliver, unless B is ready and willing to pay the first installment on delivery.
B need not pay the first installment, unless A is ready and willing to deliver the goods on payment of the first installment.

❖ **Section 52 Order of performance of reciprocal promises**

- Where the order in which reciprocal promises are to be performed is expressly fixed by the contract, they shall be performed in that order; and, where the order is not expressly fixed by the contract, they shall be performed in that order which the nature of the transaction requires.

Nature of the promise	Order of performance is fixed or not by the contract	In which order it is to be performed
Reciprocal Promises	Is expressly fixed by the contract	They shall be performed in that order which has been fixed by the contract.
Reciprocal Promises	Is not expressly fixed by the contract	They shall be performed in that order which that nature of the transaction requires.

Illustrations

- a) A and B contract that A shall build a house for B at a fixed price. A’s promise to build the house must be performed before B’s promise to pay for it
- b) A and B contract that A shall make over his stock-in-trade to B at a fixed price, and B promises to give security for the payment of the money. A’s promise need not be performed until the security is given, for the nature of the transaction requires that A should have security before he delivers up his stock.

❖ **Section 53 Liability of party preventing event on which the contract is to take effect**

➤ When a contract contains reciprocal promises, and one party to the contract prevents the other from performing his promise, the contract becomes voidable at the option of the party so prevented; and he is entitled to compensation from the other party for any loss which he may sustain in consequence of the non-performance of the contract.

Nature of the contract	Action done by one party	Legal Consequences
It contains reciprocal promises	One party to the contract prevents the other from performing his promise	i. The contract becomes voidable at the option of the party so prevented. ii. The party so prevented is entitled to compensation from the other party for any loss which he may sustain in consequence of the non-performance of the contract.

Illustrations

A and B contract that B shall execute certain work for A for a thousand Taka. B is ready and willing to execute the work accordingly, but A prevents him from doing so. The contract is voidable at the option of B; and, if he elects to rescind it, he is entitled to recover from A compensation for any loss which he has incurred by its non-performance.

❖ **Section 54 Effect of default as to that promise which should be first performed, in contract consisting of reciprocal promises**

➤ When a contract consists of reciprocal promises, such that one of them cannot be performed, or that its performance cannot be claimed till the other has been performed, and the promisor of the promise last mentioned fails to perform it, such promisor cannot claim the performance of the reciprocal promise, and must make compensation to the other party to the contract for any loss which such other party may sustain by the non-performance of the contract.

Nature of the Contract	Circumstance	Legal Consequences
i. It consists of reciprocal promises ii. The performance of one promise is dependent on the performance of other promise.	The promisor of the promise last mentioned fails to perform it.	i. Such promisor cannot claim the performance of the reciprocal promise. ii. And he must make compensation to the other party to the contract for any loss, which such other party may sustain, by non-performance of the contract.

Illustrations

- a) A hires B's ship to take in and convey, from Chittagong to the Mauritius, a cargo to be provided by A, B receiving a certain freight for its conveyance. A does not provide any cargo for the ship. A cannot claim the performance of B's promise, and must make compensation to B for the loss which B sustains by the non-performance of the contract.
- b) A contracts with B to execute certain builder's work for a fixed price, B supplying the scaffolding and timber necessary for the work. B refuses to furnish any scaffolding or timber, and the work cannot be executed. A need not execute the work, and B is bound to make compensation to A for any loss caused to him by the non-performance of the contract.
- c) A contracts with B to deliver to him, at a specified price, certain merchandise on board a ship which cannot arrive for a month, and B engages to pay for the merchandise within a week from the date of the contract. B does not pay within the week. A's promise to deliver need not be performed, and B must make compensation
- d) A promises B to sell him one hundred bales of merchandise, to be delivered next day, and B promises A to pay for them within a month. A does not deliver according to his promise. B's promise to pay need not be performed, and A must make compensation.

❖ Section 55		
➤ Effect of failure to perform at fixed time, in contract in which time is essential		
➤ Effect of such failure when time is not essential		
➤ Effect of acceptance of performance at time other than that agreed upon		
❖ Section 55 Effect of failure to perform at fixed time, in contract in which time is essential		
Nature of the Contract	Circumstances	Legal Consequences
i. A party to a contract promises to do a thing at or before a stipulated time. ii. The intention of the parties was that time should be of the essence of the contract.	That party fails to do that thing at or before that specified time.	The contract so much of it as has not been performed, becomes voidable at the option of the promisee.
❖ Section 55 Effect of such failure when time is not essential		
Nature of the Contract	Circumstances	Legal Consequences
i. A party to a contract promises to do a thing at or before a stipulated time. ii. It was not the intention of the parties that time should be of the essence of the contract.	That party fails to do that thing at or before that specified time.	i. The contract does not become voidable. ii. But the promisee is entitled to compensation from the promisor for any loss occasioned to him by such failure.
❖ Section 55 Effect of acceptance of performance at time other than that agreed upon		
Nature of the Contract	Circumstances	Legal Consequences
The contract was voidable on the ground that the promisor failed to perform his promise at the time agreed.	The promisee elected to make the contract enforceable by law and accepts performance of such promise at any time other than that agreed.	<u>Rule</u> The promisee cannot claim compensation for any loss occasioned by the non-performance of the promise at the time agreed. <u>Exception</u> He can get the compensation if at the time of such acceptance, he gives notice to the promisor of his intention to do so.

❖ Section 56 Agreement to do impossible act ➤ An agreement to do an act impossible in itself is void		
Performance of Contract and Supervening impossibility		
❖ Section 56 deals with the doctrine of supervening impossibility which is an important issue in the field of performance of contracts.		
❖ The supervening impossibility protects the promisor from the liability to perform the promise since that impossibility makes the contract void.		
❖ As it has been said earlier that the impossibility may be of two types, i.e., initial and subsequent, it is the subsequent impossibility or illegality that makes a contract void.		
❖ This is apparent in the definition of void contract which basically says that a void contract was once upon a time a valid enforceability by a valid some reasons.		
❖ The contract caused by supervening impossibility example of void contract his liability provided this is not self-induced and even the promisor could not prevent it.		
❖ S.56 Paragraph 2 deals with this.		
❖ S.56 Para 2 Contract to do act afterwards becoming impossible or unlawful ➤ A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promissor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful.		
Nature of the Contract	Circumstance	Legal Consequence
A contract to do an act. It implies the existence of a valid contract to do something.	It becomes impossible or unlawful, by reason of some event which the promisor could not prevent. It implies that the impossibility or illegality must not be self induced and it also must be proved that he applied his every force to prevent the impossibility but failed.	The contract becomes void when the act becomes impossible or unlawful.
Note ➤ To make a contract void under s.56 the following conditions must be satisfied 1) Subsequent impossibility 2) Promisor’s inability		
❖ Section 56 Compensation for loss through non-performance of the act known to be impossible or unlawful ➤ Where one person has promised to do something which he knew, or, with reasonable diligence, might have known, and which the promisee did not know to be impossible or unlawful, such promisor must make compensation to such promisee for any loss which such promisee sustains through the non-performance of the promise.		

Contracts which need not to be performed

❖ **Relevant Sections:**

➤ **62. Effect of novation, rescission and alteration of contract**

- ✓ If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed.

➤ **Note**

- ✓ Original contract need not to be performed in 3 circumstances
 - 1) If the parties to a contract agree to substitute a new contract for it; or
 - 2) To rescind; or
 - 3) To alter it.

➤ **Illustrations**

- a) A owes money to B under a contract. It is agreed between A, B and C that B shall thenceforth accept C as his debtor, instead of A. The old debt of A to B is at an end, and a new debt from C to B has been contracted.
- b) A owes B 10,000 Taka. A enters into an arrangement with B, and gives Ba mortgage of his (A's) estate for 5,000 Taka, in place of the debt of 10,000Taka. This is a new contract and extinguishes the old.
- c) A owes B 1,000 Taka under a contract. B owes C 1,000 Taka. B orders A to credit C with 1,000 Taka in his books, but C does not assent to the arrangement. B still owes C 1,000 Taka, and no new contract has been entered into.

The Consequences of Breach of Contract

❖ **Relevant Sections**

- 73. Compensation for loss or damage caused by breach of contract
Compensation for failure to discharge obligation resembling those created by contract
- 74. Compensation for breach of contract where penalty stipulated for
- 75. Party rightfully rescinding contract entitled to compensation

❖ **Section 73. Compensation for loss or damage caused by breach of contract**

- **For which compensation may be claimed**
 - ✓ When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby,
 - 1) which naturally arose in the usual course of things from such breach, or
 - 2) which the parties knew, when they made the contract, to be likely to result from the breach of it.
 - **For which compensation cannot be claimed**
 - ✓ Such compensation is not to be given for any remote and indirect loss or damage sustained by reason of the breach.
- #### ❖ **Compensation for failure to discharge obligation resembling those created by contract**
- When an obligation resembling those created by contract has been incurred and has not been discharged, any person injured by the failure to discharge it is entitled to receive the same compensation from the party in default, as if such person had contracted to discharge it and had broken his contract.
 - **Explanation** – In estimating the loss or damage arising from a breach of contract, the means which existed of remedying the inconvenience caused by the non-performance of the contract must be taken into account.

❖ **Section 74 Compensation for breach of contract where penalty stipulated for**

➤ **Sum Named in Contract or Penalty Stipulation**

- ✓ If a contract specifies a sum to be paid in case of a breach or includes any other penalty stipulation, the party aggrieved by the breach is entitled to receive reasonable compensation.
- ✓ This compensation is allowed regardless of whether actual damage or loss is proven to have occurred.
- ✓ The compensation should not exceed the amount specified in the contract or the penalty stipulated.

➤ **Explanation - Interest as Penalty**

- ✓ The text clarifies that a stipulation for increased interest from the date of default may be considered a penalty clause.

➤ **Exception - Bail-bond, Recognizance, or Public Duty**

- ✓ An exception is provided for cases where a person enters into a bail-bond, recognizance, or a similar instrument, or gives a bond for the performance of a public duty or act in which the public is interested.
- ✓ In such cases, the person is liable to pay the entire sum mentioned in the instrument upon a breach of its conditions.

➤ **Explanation on Contracts with the Government**

- ✓ A person who enters into a contract with Government does not necessarily thereby undertake any public duty, or promise to do an act in which the public are interested.

❖ **Section 75 Party rightfully rescinding contract entitled to compensation**

- A person who rightly rescinds a contract is entitled to compensation for any damage which he has sustained through the non-fulfilment of the contract.

➤ **Illustrations:**

- ✓ A, a singer, contract with B, the manager of a theatre, to sing at his theatre for two nights in every week during the next two months, and B engages to pay her 100 Taka for each night's performance. On the sixth night, A wilfully absents herself from the theatre, and B, in consequence, rescinds the contract. B is entitled to claim compensation for the damage which he has sustained through the non-fulfilment of the contract.

Indemnity and Guarantee

❖ **Relevant Sections**

➤ **Indemnity**

- ✓ 124. "Contract of indemnity" defined
- ✓ 125. Rights of indemnity- holder when sued

➤ **Contract for Guarantee**

- ✓ 126. "Contract of guarantee", "surety", "principal debtor" and "creditor"
- ✓ 127. Consideration for guarantee
- ✓ 128. Surety's liability
- ✓ 129. "Continuing guarantee"
- ✓ 130. Revocation of continuing guarantee
- ✓ 131. Revocation of continuing guarantee by surety's death
- ✓ 132. Liability of two persons primarily liable, not affected by arrangement between them that one shall be surety on other's default

➤ **Discharge of Surety**

- ✓ 133. Discharge of surety by variance in terms of contract
- ✓ 134. Discharge of surety by release or discharge of principal debtor
- ✓ 135. Discharge of surety when creditor compounds with, gives time to, or agrees not to sue, principal debtor
- ✓ 136. Surety not discharged when agreement made with third person to give time to principal debtor
- ✓ 137. Creditor's forbearance to sue does not discharge surety
- ✓ 138. Release of one co-surety does not discharge others
- ✓ 139. Discharge of surety by creditor's act or omission impairing surety's eventual remedy

➤ **Rights of the Sureties**

- ✓ 140. Rights of surety on payment or performance
- ✓ 141. Surety's right to benefit of creditor's securities

➤ **Certain rules regarding the validity and invalidity of a contract of guarantee**

- ✓ 142. Guarantee obtained by misrepresentation invalid
- ✓ 143. Guarantee obtained by concealment invalid
- ✓ 144. Guarantee on contract that creditor shall not act on it until co-surety joins

Indemnity and Guarantee

Indemnity	Guarantee
An indemnity is a contract by one party to keep the other harmless against loss.	A contract of guarantee is a contract to answer for the debt, default or miscarriage of another who is to be primarily liable to the promise.

Indemnity

❖ **Section 124 ‘Contract of indemnity’ defined**

➤ **Definition**

- ✓ A contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person, is called a "contract of indemnity".

➤ **Illustration**

- ✓ A contracts to indemnify B against the consequences of any proceedings which C may take against B in respect of a certain sum of 200 Taka. This is a contract of indemnity.

➤ **Note:** 2 elements of contract of indemnity

- 1) **Nature of the transaction:** It must be a valid contract which fulfills all the requirements of a valid contract.
- 2) **Object:** The object is what makes contract of indemnity a special contract. The object here is to save the other from loss caused to him by the conduct of the promisor himself, or by conduct of any other person.

❖ **Section 125 Rights of indemnity – holder when sued**

➤ The promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor-

- 1) **(Damages)** all damages which he may be compelled to pay in any suit in respect of any matter to which the promise to indemnify applies;
- 2) **(Cost of the suit)** all costs which he may be compelled to pay in any such suit if, in bringing or defending it,
 - he did not contravene the orders of the promisor, and
 - acted as it would have been prudent for him to act in the absence of any contract of indemnity, or if the promisor authorized him to bring or defend the suit;
- 3) **(Sums paid under the terms of any compromise)** all sums which he may have paid under the terms of any compromise of any such suit, if the compromise
 - was not contrary to the orders of the promisor, and
 - was one which it would have been prudent for the promisee to make in the absence of any contract of indemnity, or if the promisor authorized him to compromise the suit.

Guarantee

❖ **Section 126 "Contract of guarantee", "surety", "principal debtor" and "creditor"**

➤ **Contract of guarantee**

- ✓ A "contract of guarantee" is a contract to perform the promise, or discharge the liability, of a third person in case of his default.

➤ **Surety**

- ✓ The person who gives the guarantee is called the "surety"

➤ **Principal Debtor**

- ✓ the person in respect of whose default the guarantee is given is called the "principal debtor"

➤ **Creditor**

- ✓ the person to whom the guarantee is given is called the "creditor"

➤ **A guarantee may be either oral or written.**

❖ **Section 127 Consideration for guarantee**

- Anything done, or any promise made, for the benefit of the principal debtor may be a sufficient consideration to the surety for giving the guarantee.

➤ **Illustrations**

- a) B requests A to sell and deliver to him goods on credit. A agrees to do so, provided C will guarantee the payment of the price of the goods. C promises to guarantee the payment in consideration of A's promise to deliver the goods. This is a sufficient consideration for C's promise.
- b) A sells and delivers goods to B. C afterwards requests A to forbear to sue B for the debt for a year, and promises that if he does so, C will pay for them in defaults of payment by B. A agrees to forbear as requested. This is a sufficient consideration for C's promise.
- c) A sells and delivers goods to B. C afterwards, without consideration, agrees to pay for them in default of B. The agreement is void.

❖ **Section 128 Surety's Liability**

- The liability of the surety is co-extensive with that of the principal debtor, unless it is otherwise provided by the contract.

➤ **Illustration**

- ✓ A guarantees to B the payment of a bill of exchange by C, the acceptor. The bill is dishonoured by C. A is liable not only for the amount of the bill but also for any interest and charges which may have become due on it.

➤ **Note**

- ✓ Thus, in absence of any contract to the contrary the surety is liable to do everything which the principal debtor is obliged to do.

❖ Section 129 “Continuing Guarantee”

- A guarantee which extends to a series of transactions is called a “continuing guarantee”.

➤ *Illustrations*

- a) A, in consideration that B will employ C in collecting the rent of B's zamindari, promises B to be responsible, to the amount of 5,000 Taka, for the due collection and payment by C of those rents. This is a continuing guarantee.
- b) A guarantees payment to B, a tea-dealer, to the amount of Taka 100, for any tea he may from time to time supply to C. B supplies C with tea to above the value of taka 100, and C pay B for it. Afterwards B supplies C with tea to the value of taka 200. C fails to pay. The guarantee given by A was a continuing guarantee, and he is accordingly liable to B to the extent of Taka 100.
- c) A guarantees payment to B of the price of five sacks of flour to be delivered by B to C and to be paid for in a month. B delivers five sacks to C. C pays for them. Afterwards B delivers four sacks to C, which C does not pay for. The guarantee given by A was not a continuing guarantee, and accordingly he is not liable for the price of the four sacks.

❖ Section 130 Revocation of continuing guarantee

- A continuing guarantee may at any time be revoked by the surety, as to future transactions, by notice to the creditor.

➤ *Illustrations*

- a) A, in consideration of B's discounting, at A's request, bills of exchange for C, guarantees to B, for twelve months, the due payment of all such bills to the extent of 5,000 Taka. B discounts bills for C to the extent of 2,000 Taka. Afterwards, at the end of three months, A revokes the guarantee. This revocation discharges A from all liability to B for any subsequent discount. But A is liable to B for the 2,000 Taka, on default of C.
- b) A guarantees to B, to the extent of 10,000 Taka, that C shall pay all the bills that B shall draw upon him. B draws upon C. C accepts the bill. A gives notice of revocation. C dishonors the bill at maturity. A is liable upon his guarantee.

➤ **Note**

- ✓ A continuing guarantee also maybe terminated at any time provided the other party has been notified properly.

❖ Section 131 Revocation of continuing guarantee by surety's death

- The death of the surety operates, in the absence of any contract to the contrary, as a revocation of a continuing guarantee, so far as regards future transactions.

➤ **Note**

- ✓ Thus, if there is no contract to the contrary, then the death of the surety will operate as a revocation of a continuing guarantee.
- ✓ But such revocation will be effective against the future transactions to be made after the death of the surety.

❖ **Section 132 Liability of two persons primarily liable, not affected by arrangement between them that one shall be surety on other's default**

➤ **Joint Debtors and Suretyship**

- ✓ Where two persons contract with a third person to undertake a certain liability, and
- ✓ also contract with each other that one of them shall be liable only on the default of the other,
- ✓ the third person not being a party to such contract, the liability of each of such two persons to the third person under the first contract is not affected by the existence of the second contract, although such third person may have been aware of its existence.

➤ **Illustration**

- ✓ A and B make a joint and several promissory note to C. A makes it, in fact, assurity for B, and C knows this at the time when the note is made. The fact that A, to the knowledge of C, made the note as surety for B, is no answer to a suit by C against A upon the note.

➤ **Analysis of section 132:** The rule enunciated in section 132 may be made clear by the following dissection of the section taking a hypothesis-

- i. A and B, these two persons contract with C, a third person to undertake a certain liability.
- ii. A and B enter into a second contract with each other that one of them shall be liable only on the default of the other.
- iii. C, the third person is not a party to the second contract.
- iv. The liability of each of such two persons (A and B) to the third person under the first contract is not affected by the existence of the second contract.
- v. It is immaterial whether such third person (C) is aware of the existence of any such second contract or not.

Discharge of Surety (SS.133-139)
Circumstances where Surety is discharged SS.133-135,139
❖ 133. Discharge of surety by variance in terms of contract ➤ Any change in the terms of the contract between the principal debtor and the creditor, made without the surety's consent, releases the surety from liability for transactions subsequent to the variance. ❖ 134. Discharge of surety by release or discharge of principal debtor ➤ The surety is discharged if there is a contract between the creditor and the principal debtor that results in the release of the principal debtor. ➤ Additionally, any act or omission by the creditor that legally discharges the principal debtor will also discharge the surety. ❖ 135. Discharge of surety when creditor compounds with, gives time to, or agrees not to sue, principal debtor ➤ A contract between the creditor and the principal debtor, where the creditor makes a composition, promises to give time, or agrees not to sue the principal debtor, discharges the surety unless the surety consents to such a contract. ❖ 139. Discharge of surety by creditor's act or omission impairing surety's eventual remedy ➤ If the creditor does something inconsistent with the rights of the surety or fails to perform a duty that impairs the surety's eventual remedy against the principal debtor, the surety is discharged. ❖ Notice of revocation of surety’s liability in case of end of continuing guarantee. ❖ In case of continuing guarantee the death of the surety. ❖ By compromise agreement between the surety and principal debtor.
Circumstances where Surety is not Discharged SS.136-138
❖ 136. Surety not discharged when agreement made with third person to give time to principal debtor ➤ If the creditor makes a contract with a third person to give time to the principal debtor (rather than directly with the principal debtor), the surety is not discharged. ❖ 137. Creditor's forbearance to sue does not discharge surety ➤ Mere forbearance by the creditor to sue the principal debtor or enforce any other remedy does not discharge the surety, unless there is a provision in the guarantee stating otherwise. ❖ 138. Release of one co-surety does not discharge others ➤ If one co-surety is released by the creditor, it does not discharge the other co-sureties, and the released surety remains responsible to the remaining sureties.

Rights of the Sureties

❖ **Section 140. Rights of surety on payment or performance**

- The surety has all the rights which the creditor had against the principal debtor in the following either of the two circumstances
 - i. Where a guaranteed debt has become due; or
 - ii. Default of the principal debtor to perform a guaranteed duty has taken place.

❖ **Section 141. Surety's right to benefit of creditor's securities**

- The rules laid by this section are:
 - i. The surety will have the right to benefit of every security kept to the creditor by the principal debtor.
 - ii. The surety will have the above right irrespective of his knowledge about the existence of such security.
 - iii. If the creditor somehow disposes of the property kept as security, then the surety will be discharged to the extent of the value of that disposed of property.

Certain rules regarding the validity and invalidity of a contract of guarantee

❖ **142. Guarantee obtained by misrepresentation invalid**

- Any guarantee which has been obtained by means of misrepresentation made by the creditor, or with his knowledge and assent, concerning a material part of the transaction, is invalid.
- **Note:** Condition is that it must concern a material part of the transaction.

❖ **143. Guarantee obtained by concealment invalid**

- Any guarantee which the creditor has obtained by means of keeping silence as to material circumstances is invalid.
- **Note:** The guarantee will be invalid if
 - i. Guarantee is obtained by means of keeping silence, and
 - ii. Such silence involved material circumstances of the transaction.

❖ **144. Guarantee on contract that creditor shall not act on it until co-surety joins**

- Where a person gives a guarantee upon a contract that the creditor shall not act upon it until another person has joined in it as co-surety, the guarantee is not valid if that other person does not join.
- **Note:**
 - ✓ Condition: Another person must join as co-surety to give the contract validity.

Bailment

❖ Relevant Sections

- 148. "Bailment", "bailor", and "bailee" defined
- 149. Delivery to bailee how made
- 150. Bailor's duty to disclose faults in goods bailed
- 151. Care to be taken by bailee
- 152. Bailee when not liable for loss, etc., of thing bailed
- 153. Termination of bailment by bailee's act inconsistent with conditions
- 154. Liability of bailee making unauthorised use of goods bailed
- 159. Restoration of goods lent gratuitously
- 162. Termination of gratuitous bailment by death
- 170. Bailee's particular lien
- 171. General lien of bankers, factors, wharfingers, attorneys and policy- brokers

❖ **Section 148 “Bailment”, “bailor”, and “bailee” defined**

➤ **Bailment**

- ✓ A "bailment" is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them.

➤ **Bailor**

- ✓ The person delivering the goods is called the "bailor".

➤ **Bailee**

- ✓ The person to whom they are delivered is called the "bailee".

- **Explanation:** If a person already in possession of the goods of another contracts to hold them as a bailee, he thereby becomes the bailee, and the owner becomes the bailor, of such goods although they may not have been delivered by way of bailment.

❖ **Note:** Elements of bailment contracts as per **s.148** are:

- 1) **Subject Matter:** Only goods/movable property can be bailed. Immovable property cannot be bailed.
- 2) **Delivery:** The goods must be delivered by one person to another which means that possession must be handed over.
 - i. **Mode of Delivery: Section 149 Delivery to bailee how made**
 - The delivery to the bailee may be made by doing anything which has the effect of putting the goods in the possession of the intended bailee or
 - of any person authorized to hold them on his behalf.
 - ii. **When such Delivery is not required: S.148 Explanation**
 - In this scenario, the possession was delivered prior to making the contract of bailment. Subsequently, if any bailment contract is made then the goods is not required to be taken back and delivered once again. Therefore, delivery is not required.
- 3) **Purpose:** The possession of goods must be delivered for a specific purpose. Such purpose can be exclusively for the benefit of either bailee or bailor or both.
- 4) **Contract:** There must be valid contract.
- 5) **Return of goods/Disposal as directed mandatory:** The goods must be returned or disposed as directed by the bailor. Permanent delivery of possession is never a bailment.

Duties of Bailor	Duties of Bailee
1) Duty of disclosure (s.150) 2) Duty of repayment of necessary expenses (s.158) 3) Duty to indemnify the borrower (s.159) 4) Duty to indemnify the bailee (s.164) 5) Duty to receive back the goods bailed (s.164) 6) Duty to compensate the bailee	1) Duty of care (s.151) 2) Duty to use the goods as according to the conditions of bailment (s.154) 3) No mixture without bailor's consent (ss.155,156,157) 4) Duty of return of goods (s.160) 5) Duty to deliver any increase of profit (s.163)
Rights of Bailor	Rights of Bailee
1) Right to claim compensation for non-delivery of goods at proper time (s.161) 2) Right to terminate the bailment (s.153) 3) Right to demand return of goods (s.159) 4) Right to claim any increase or profit (s.163) 5) Right to claim compensation (ss.151,154,156,157)	1) Right to particular lien (s.170) 2) Right to general lien (s.171) 3) Right regarding delivery of goods to one of several joint bailors (s.165) 4) Right regarding delivery of goods to bailor without title (s.166) 5) Right to claim damages for non-disclosure of the faults in the goods bailed (s.150) 6) Right to claim payment for necessary expenses (s.158) 7) Right to be indemnified by the bailor (s.164) 8) Right to claim compensation for safe custody
Rights of bailor and bailees against wrong doers	
❖ Suit against wrong doer (s.180) ➤ Wrong doer here refers to 3rd party responsible for depriving the bailee of the use of possession of the goods bailed or does them any injury. ➤ In such case suit can be filed to claim relief or compensation for such deprivation or injury. ❖ Relief or compensation obtained by way of such suit to be appropriated between bailor and bailee in accordance to their interest (s.181)	

Duties of Bailor

❖ **Duty of disclosure (s.150)**

- **Disclosure of facts which the bailor is aware:** The bailor is bound to disclose to the bailee faults in the goods bailed,
 - ✓ of which the bailor is aware, and
 - ✓ which materially interfere with the use of them, or
 - ✓ expose the bailee to extraordinary risks; and
- **Consequences of non-disclosure:**
 - ✓ if he does not make such disclosure, he is responsible for damage arising to the bailee directly from such faults.
- **Strict Liability if bailor is unaware:** If the goods are bailed for hire, the bailor is responsible for such damage, whether he was or was not aware of the existence of such faults in the goods bailed.

❖ **Duty of repayment of necessary expenses (s.158)**

- Where, by the conditions of the bailment, the goods are to be kept or to be carried, or to have work done upon them by the bailee for the bailor, and the bailee is to receive no remuneration, the bailor shall repay to the bailee the necessary expenses incurred by him for the purpose of the bailment.
- **Note:**
 - ✓ “Bailee is to receive no remuneration” means that it is a gratuitous bailment.
 - ✓ In case of gratuitous bailment, the bailor shall repay the bailee the necessary expenses incurred by him for the purpose of bailment.

❖ **Duty to indemnify the borrower (s.159)**

- **Lender’s right to request return**
 - ✓ The lender of a thing for use may at any time require its return, if the loan was gratuitous, even though he lent it for a specified time or purpose.
- **Exception in Case of Borrower's loss and Compensation for loss**
 - ✓ If the borrower incurs a loss exceeding the benefit due to the lender's demand for early return, the lender must compensate for the excess loss.

❖ **Duty to indemnify the bailee (s.164)**

- The bailor is responsible to the bailee for any loss which the bailee may sustain by reason that the bailor was not entitled to make the bailment, or to receive back the goods or to give directions, respecting them
- **Note:**
 - ✓ If the bailor does not have any legal right to make a bailment,
 - ✓ But he does so without lawful authority over the goods bailed,
 - ✓ Then the bailor must compensate the bailee for loss suffered due to that unauthorized bailment.

❖ **Duty to receive back the goods bailed (s.164)**

- By analysis of the s.164 it becomes absolutely clear before us that
 - ✓ the bailor is bound to receive back the goods bailed or
 - ✓ he should give any other direction regarding the disposal of goods bailed.

Duties of Bailee

❖ **Duty of care (s.151)**

- The law imposes a duty upon the bailee to take care of the goods bailed to him
- **S.151** clarifies the degree of care to be taken by bailee.
- **S.151 Care to be taken by bailee**
 - ✓ In all cases of bailment the bailee is bound to take as much care of the goods bailed to him as a man of ordinary prudence would, under similar circumstances, take of his own goods of the same bulk, quality and value as the goods bailed.
- Thus, bailee is under obligation to take care of the goods like a person takes care of his own good.
- In other words, the care taken by bailee must be identical to the care taken by a man of ordinary prudence under similar condition/circumstances.

❖ **Duty to use the goods as according to the conditions of bailment (s.154)**

- **S.154 Liability of bailee making unauthorized use of goods bailed**
 - ✓ If the bailee makes any use of the goods bailed, which is not according to the conditions of the bailment, he is liable to make compensation to the bailor for any damage arising to the goods from or during such use of them.
- **Note:**
 - ✓ Bailee is under absolute obligation to use the goods only in the way authorized by the bailor.
 - ✓ It is a strict liability. Therefore, any form of unauthorized use of the goods is prohibited.

❖ No mixture without bailor’s consent (ss.155,156,157)	
➤ S.155 Mixture with consent of Bailor ✓ If the bailee, with the consent of the bailor, mixes the goods of the bailor with his own goods, ✓ the bailor and the bailee shall have an interest, in proportion to their respective shares, in the mixture thus produced.	➤ S.156, 157 Mixture without consent ➤ S.156 Mixture of goods which can be separated ✓ Mixed without consent of the bailor ✓ Can be separated or divided ✓ The property remains ✓ But the bailee is responsible for the separation cost and ✓ Any damage arising out of it ➤ S.157 Mixture cannot be separated ✓ Mixed in a manner making it impossible to separate ✓ Bailee must compensate for loss of the goods

❖ **Duty of return of goods (s.160)**

➤ **S.160**

- ✓ It is the duty of the bailee to return, or deliver according to the bailor's direction, the goods bailed, without demand, as soon as the time for which they were bailed has expired, or the purpose for which they were bailed has accomplished

➤ **Note:**

- ✓ .The duty to return the goods to the bailor is the most important duty.
- ✓ It can either be the return of goods or disposal of goods, whichever is directed by the bailor.

➤ **Consequences of Non delivery**

✓ **S.161 Bailee's responsibility when goods are not duly returned**

- If, by the default of the bailee, the goods are not returned, delivered or tendered at the proper time, he is responsible to the bailor for any loss, destruction or deterioration of the goods from that time.

✓ **Note:**

- If the bailee does not fulfill the duty of delivery then he will be responsible for any loss suffered by the bailor.

❖ **Duty to deliver any increase of profit (s.163)**

➤ **S.163**

- ✓ In the absence of any contract to the contrary, the bailee is bound to deliver to the bailor, or according to his directions, any increase or profit which may have accrued from the goods bailed.

➤ **Illustration**

- ✓ A leaves a cow in the custody of B to be taken care of. The cow has a calf. B is bound to deliver the calf as well as the cow to A.

➤ **Note:**

- ✓ The goods bailed to the bailee may have been any increase or profit gained during the continuance of bailment then the bailor is entitled to such increase or profit.
- ✓ Unless there is a contract to the contrary.

Rights of the Bailor

❖ **Right to claim compensation for non-delivery of goods at proper time (s.161)**

- S.161 empowers the bailor with the right to claim compensation for non-delivery of goods at a proper time due to default of the bailee.

❖ **Right to terminate the bailment (s.153)**

➤ **S.153**

- ✓ A contract of bailment is avoidable at the option of the bailor, if the Bailee does any act with regard to the goods bailed, inconsistent with the conditions of the bailment.

➤ **Illustration**

- ✓ A lets to B, for hire, a horse for his own riding. B drives the horse in his carriage. This is, at the option of A, a termination of the bailment.

➤ **Note:**

- ✓ The bailee cannot make any use of the goods bailed, which is not authorized by the bailor. If the bailee does so, then the bailor has the option to terminate the bailment.
- ✓ Therefore, the unauthorized actions taken by the bailee renders the contract of bailment voidable at the option of the bailor.

❖ **Right to demand return of goods (s.159)**

- Bailor has the right to demand the return of goods whenever he wants.
- Even in case of gratuitous bailment the bailor has such right. However, in such case the bailor must compensate the bailee for any loss occurred by such exercise of right.

❖ **Right to claim any increase or profit (s.163)**

- S.163 implies that unless there is a contract to the contrary any increase or profit arising out of the goods bailed belongs to the bailor.

❖ **Right to claim compensation (ss.151,154,156,157)**

- **S.151** Compensation loss accruing from the breach of duty of care by bailee
- **S.154** Compensation for unauthorized use of goods
- **S.156** Compensation for damage arising out of separated of goods mixed without consent of the bailor
- **S.157** Compensation for loss arising out of impossibility of separation of mixed goods without consent of the bailor

Rights of Bailee

❖ **Right to particular lien (s.170)**

- This is a possessory right of the bailee to retain the goods bailed till the payment of remuneration under certain circumstances.
- **S.170** mentions the conditions which must be satisfied by the bailee to exercise right of particular lien:
 - i. The bailee has to render a service in accordance with the purpose of the bailment.
 - ii. The service rendered by the bailee involves the exercise of labor or skill in respect of the goods bailed.
 - iii. The service rendered deserves some remuneration.
 - iv. This remuneration is unpaid.
 - v. There is no contract to the contrary.
 - vi. The bailee is in the possession of the goods bailed.
- **Illustration**
 - a) A delivers a rough diamond to B, A jeweller, to be cut and polished, which is accordingly done. B is entitled to retain the stone till he is paid for the services he has rendered.
 - b) A gives cloth to B, a tailor, to make into a coat. B promises A to deliver the coat as soon as it is finished, and to give a three months' credit for the price. B is not entitled to retain the coat until he is paid.

❖ **Right to general lien (s.171)**

- Such right is only available to special type of bailees.
- **S.171** lists out such bailees:
 - a) Bankers;
 - b) Factors;
 - c) Wharfingers;
 - d) Advocate of the Supreme Court;
 - e) Policy brokers;
 - f) Any other person who has an express contract to that effect.

❖ **Right regarding delivery of goods to one of several joint bailors (s.165)**

- If more than one joint owners bail their goods to bailee then he may deliver them back to any one of joint owners provided that there is no contrary agreement to it is found.

❖ **Right regarding delivery of goods to bailor without title (s.166)**

- **S.166**
 - ✓ If the bailor has no title to the goods, and the bailee, in good faith, delivers them back to, or according to the directions of, the bailor, the bailee is not responsible to the owner in respect of such delivery.
- **Note**
 - ✓ The bailee is not responsible for delivering goods to the bailor even if the bailor actually has no title provided that he does so in good faith.
 - ✓ Therefore, in such case the bailee is not be held responsible by the real owner.

- ❖ **Right to claim damages for non-disclosure of the faults in the goods bailed (s.150)**
 - The bailor must disclose any known risk or faults in the goods bailed.
 - In case of goods for hire, its irrelevant whether risk is known to the bailor or not. Its strict liability.
- ❖ **Right to claim payment for necessary expenses (s.158)**
 - Claim necessary expenses incurred by non-gratuitous bailment
- ❖ **Right to be indemnified by the bailor (s.164)**
 - **S.164**
 - ✓ **The bailor is responsible to the bailee for any loss which the bailee may sustain by reason that the bailor was not entitled to make the bailment, or to receive back the goods or to give directions, respecting them.**
- ❖ **Right to claim compensation for safe custody**
 - If any bailor fails to receive the goods back in the prescribed delivery time then the bailor has the right to get compensation for safe custody of the bailment.

Rights of bailor and bailees against wrong doers
❖ Suit against wrong doer (s.180) ➤ Wrong doer here refers to 3rd party responsible for depriving the bailee of the use of possession of the goods bailed or does them any injury. ➤ In such case suit can be filed to claim relief or compensation for such deprivation or injury. ❖ Relief or compensation obtained by way of such suit to be appropriated between bailor and bailee in accordance to their interest (s.181) ➤ Whatever is obtained by way of relief or compensation in any such suit shall, as between the bailor and the bailee, be dealt with according to their respective interests.

Termination of bailment

- ❖ A bailment may be terminated in the following modes:
 - 1) **Expiry of time:** If the bailment is made for a specified then it will be terminated after the expiry of that stipulated time.
 - 2) **Fulfillment of object:** If the bailment is made for a specific purpose then it will be terminated after the accomplishment of that purpose.
 - 3) **Option of the bailor:** By exercising the option of the bailor bailment may be terminated under the following two circumstances:
 - **If the bailee does any unauthorized act:** Section 153 implies that if the bailee does anything which is inconsistent with the conditions of bailment then the bailor may terminate the bailment.
 - **Gratuitous bailment:** Section 159 implies that in case of gratuitous bailment it can be terminated at any time at the will of the bailor, even before the expiry of the specified time or before the accomplishment of the purpose of bailment
 - 4) **By operation of law:** Section 162 says that a gratuitous bailment is terminated by the death of the bailor or bailee.

Pledges

- ❖ **Relevant Sections**
 - 172. "Pledge", "Pawnor" and "Pawnee" defined
- ❖ **What is pledge: Section 172 says –**
 - The bailment of goods as security for payment of a debt or performance of a promise is called "pledge".
 - Thus it appears that pledge is a special type of bailment where the goods are kept as security for either of the following two purposes:
 - i. Payment of a debt;
 - ii. Performance of a promise.
 - **Section 172** further adds that
 - ✓ the bailor is in this case called the "pawnor" and
 - ✓ the bailee is called the "pawnee."

Agency

Appointment and Authority of Agents

❖ **Relevant Sections**

- 182. "Agent" and "principal" defined
- 183. Who may employ agent
- 184. Who may be an agent
- 185. Consideration not necessary
- 186. Agent's authority may be expressed or implied
- 187. Definitions of express and implied authority
- 188. Extent of agent's authority
- 189. Agent's authority in an emergency

❖ **Section 182 "Agent" and "principal" defined**

- **Agent:** An "agent" is a person employed
 - ✓ to do any act for another or
 - ✓ to represent another in dealings with third persons.
- **Principal**
 - ✓ The person for whom such act is done, or
 - ✓ who is so represented,
 - ✓ is called the "principal".

❖ **Section 183. Who may employ agent**

- Any person who is of
 - ✓ the age of majority according to the law to which he is subject, and
 - ✓ who is of sound mind,
 - ✓ may employ an agent.
- **Note:** Law applicable in this case is the Majority Act, 1875.

❖ **Section 184 Who may be an agent**

- As between the principal and third persons any person may become an agent, but no person who is not of the age of majority and of sound mind can become an agent, so as to be responsible to his principal according to the provisions in that behalf herein contained.
- **Note:** The agent must be
 - ✓ Age of majority
 - ✓ Sound mind

❖ **Section 185 Consideration not necessary**

- No consideration is necessary to create an agency.

❖ **Section 186 Agent's authority may be expressed or implied**

- The authority of an agent may be expressed or implied

❖ Section 187 Definitions of express and implied authority

➤ Express Authority

- ✓ An authority is said to be express when it is given by words spoken or written.

➤ Implied Authority

- ✓ An authority is said to be implied when it is to be inferred from the circumstances of the case; and things spoken or written, or the ordinary course of dealing, may be accounted circumstances of the case.

➤ Illustration

- ✓ A owns a shop in Mymensingh, living himself in Dhaka, and visiting the shop occasionally. The shop is managed by B, and he is in the habit of ordering goods from C in the name of A for the purposes of the shop, and of paying for them out of A's funds with A's knowledge. B has an implied authority from A to order goods from C in the name of A for the purposes of the shop.

❖ Section 188 Extent of agent's authority

- An agent having an authority to do an act has authority to do every lawful thing which is necessary in order to do such act.
- An agent having an authority to carry on a business has authority to do every lawful thing necessary for the purpose, or usually done in the course of conducting such business.

➤ Illustrations

- a) A is employed by B, residing in London, to recover at [Chittagong] a debt due to B. A may adopt any legal process necessary for the purpose of recovering the debt, and may give a valid discharge for the same.
- b) A constitutes B his agent to carry on his business of a ship-builder. B may purchase timber and other materials, and hire workmen, for the purposes of carrying on the business.

➤ *Note: Limited up to the lawful thing.*

❖ Section 189 Agent's authority in an emergency

- An agent has authority, in an emergency, to do all such acts for the purpose of protecting his principal from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances.

➤ Illustrations

- a) An agent for sale may have goods repaired if it be necessary.
- b) A consigns provisions to B at Chittagong, with directions to send them immediately to C at Dhaka. B may sell the provisions at Chittagong, if they will not bear the journey to Dhaka without spoiling.

- **Note:** Thus, section 189 gives a wide range of power to agent which empowers him to do everything in an emergency provided that is done –

- i. To protect his principal from loss, and
- ii. the same thing would be done by a person of ordinary prudence, in his own case, under similar circumstances.

- Thus the law sets the reasonableness as the test of authority in an emergency.

Revocation of Authority

❖ **Section 201. Termination of agency**

- An agency is terminated by the principal revoking his authority; or
- by the agent renouncing the business of the agency; or
- by the business of the agency being completed; or
- by either the principal or agent dying or becoming of unsound mind; or
- by the principal being adjudicated an insolvent under the provisions of any Act for the time being in force for the relief of insolvent debtors.

❖ **Thus it appear that an agency may be terminated in the following modes:**

- 1) By the act of the principal if he revokes his authority.
- 2) By the act of the agent if he renounces the business of the agency.
- 3) By the completion of business of the agency.
- 4) By the death of principal.
- 5) By the death of agent.
- 6) If the principal becomes person of unsound mind.
- 7) If the agent becomes person of unsound mind.
- 8) If the principal is adjudicated as an insolvent under the provisions of any act for the time being in force.

Agent's duty to Principal

❖ **Relevant Sections**

- 215. Right of principal when agent deals, on his own account, in business of agency without principal's consent
- 216. Principal's right to benefit gained by agent dealing on his own account in business of agency

❖ **Section 215. Right of principal when agent deals, on his own account, in business of agency without principal's consent**

- The law gives the principal to repudiate a transaction subject to the satisfaction of the following conditions:
 - i. The agent deals on his own account in the business of the agency
 - ii. The agent does so without first obtaining the consent of his principal.
 - iii. Even the agent does not acquaint the principal with all material circumstances which have come to his own knowledge on the subject.
 - iv. The case shows either that the agent has dishonestly concealed any material fact from him, or that the dealings of the agent have been disadvantageous to him.

❖ **Section 216. Principal's right to benefit gained by agent dealing on his own account in business of agency**

- **Section 216 says -**
 - ✓ If an agent, without the knowledge of his principal, deals in the business of the agency on his own account instead of on account of his principal, the principal is entitled to claim from the agent any benefit which may have resulted to him from the transaction.
- **Illustration**
 - ✓ A directs B, his agent, to buy a certain house for him. B tells A it cannot be bought, and buys the house for himself. A may, on discovering that B has bought the house, compel him to sell it to A at the price he gave for it.
- **Note**
 - ✓ Principal's right to benefit gained by agent dealing on his own account in business of agency:
 - ✓ If the agent conducts business of his principal on his account and gains any benefit still the principal will have the right to claim that benefit gained by the agent in doing business on his own account.

Principal's Duty to Agent

❖ **Section 222. Agent to be indemnified against consequences of lawful acts**

- Agent to be indemnified against consequences of lawful acts: An agent is given the right to be indemnified by the principal for any loss suffered by him in doing the authorized acts provided that act must be lawful.

❖ **Section 223. Agent to be indemnified against consequences of acts done in good faith**

- Thus the law gives the agent the right to be indemnified not only against authorized acts, but it gives also the right to be indemnified against all acts done in good faith.

❖ **Section 224. Non-liability of employer of agent to do a criminal act**

- Non-liability of employer of agent to do a criminal act: There will be no right on the part of the agent to be indemnified due to doing a criminal act though that was authorized by his principal.

❖ **Section 225. Compensation to agent for injury caused by principal's neglect**

- If the agent suffers any loss due to neglect or want of skill of the principal then the principal will be bound to compensate the agent for such loss

Effect of Agency on Contract with third persons

❖ **Section 227. Principal how far bound, when agent exceeds authority**

- When an agent does more than he is authorized to do, and when the part of what he does, which is within his authority, can be separated from the part which is beyond his authority, so much only of what he does as is within his authority is binding as between him and his principal.

➤ **Illustration**

- ✓ A, being owner of a ship and cargo, authorizes B to procure an insurance for 4,000 Taka on the ship. B procures a policy for 4,000 Taka on the ship, and another for the like sum on the cargo. A is bound to pay the premium for the policy on the ship, but not the premium for the policy on the cargo.

➤ **Note:** Thus the section may be dissected as such –

- i. The agent exceeds his authority and does something beyond his authority.
- ii. The whole transaction is not beyond his authority, rather a part of it is within his authority.
- iii. The authorized part of the act done by him is separable from the part which is unauthorized.
- iv. Under such circumstance, only the authorized portion of his agent's act will bind the principal and the principal will have no liability for the unauthorized portion of his agent's task.

➤ **Note:**

- ✓ Thus it appears that even if the agent exceeds his authority then the principal cannot deny his liability absolutely rather he will be bound by the authorized portion of his agent's act provided that is separable from the unauthorized portion of the act done by him exceeding the authority.

❖ **Section 228. Principal not bound when excess of agent's authority is not separable**

- Where an agent does more than he is authorized to do, and what he does beyond the scope of his authority cannot be separated from what is within it, the principal is not bound to recognize the transaction.

- **Illustration**

- ✓ A authorizes B to buy 500 sheep for him. B buys 500 sheep and 200 lambs for one sum of 6,000 Taka. A may repudiate the whole transaction.

- **Note:** Thus the section may be dissected as such-

- i. The agent exceeds his authority and does something beyond his authority.
- ii. The whole transaction is not beyond his authority, rather a part of it is within his authority.
- iii. The authorized part of the act done by him is not separable from the part which is unauthorized.
- iv. Under such circumstance, the principal may deny the liability for whole transaction.

The End

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